US Daily Markets Report

July 2, 2026 | After-Close Edition | Half-Day Session (1 PM ET close)

1. SPY / QQQ Snapshot

ETF	Today's Close	% Change	1Y High	1Y Low	1Y Return
SPY	$744.78	-0.13%	$761.24	$601.00	+23.92%
QQQ	$712.60	-1.73%	$745.34	$548.50	+29.92%

Prior closes: SPY $745.76 | QQQ $725.17 (July 1, 2026). 1-year window: Jun 26 2025 – Jul 2 2026.

2. Today's Market-Moving News

■ June NFP Badly Misses — Weakest Reading in a Year

Nonfarm payrolls added just 57,000 jobs in June, sharply below the 113,000 consensus and the revised 129,000 for May. The unemployment rate slipped to 4.2% (vs 4.3% prior), but only because the labor-force participation rate fell 0.3pp to 61.5%. ADP had already telegraphed softness on Wednesday with a +98K print vs the ~120K expectation.

■ Tesla Q2 Deliveries Beat Hard — Stock Sold Off Anyway

Tesla reported Q2 2026 deliveries of 480,126 vehicles, up 25% YoY and a 34% jump from Q1, decisively clearing the 406,024 Wall Street bar. Despite the blowout beat, TSLA fell ~7%: investors are focused on whether volume recovery translated into margin recovery, a question not answered until the July 22 earnings call. Classic 'buy the rumor, sell the news' — especially with per-vehicle ASPs and gross margin under scrutiny.

■ Semiconductor Sector Extended Its June Selloff

Intel sank 6% and AMD fell 5%, dragging the iShares Semiconductor ETF (SOXX) down roughly 6% intraday on this shortened session. The chip sector has shed ~$1.3T in market cap since mid-June 2026 as investors take profits after a 70–100% H1 rally. Broadcom's cautious AI chip guidance in early June, combined with a memory-chip demand reset and softening smartphone forecasts, triggered the broader profit-taking wave.

■ Dow Surged to New Records; Financials and Communications Led

While tech sold off, the Dow Jones rose ~1.1% (nearly 600 points) to a fresh record as financials, communications, and defensive sectors rotated higher. The weak jobs print reduced Treasury yields (2-year yields fell), boosting bond-sensitive financials and making the Fed less likely to raise rates in July. Alphabet, which joined the Dow on June 29, helped communications.

■ Fed Rate Context: Holding at 3.50–3.75%

The FOMC held rates at 3.50–3.75% at its June 17 meeting. May CPI was +4.2% YoY (core +2.9%), and the Fed's dot-plot shows 9 members projecting at least one more hike. The weak June payroll print makes a July hike (July 28-29 meeting) very unlikely — market-implied odds now at ~20% for a hike. The next key reading is June CPI, due July 14.

■ US–Iran Tensions Adding Geopolitical Premium

Ongoing developments in the US–Iran conflict have been contributing a risk premium to oil prices this week. Crude oil climbed as markets priced in potential supply disruption from the Middle East. The energy sector outperformed the broader market; however, higher oil also feeds the inflation narrative that complicates the Fed's path.

■ Half-Day Session

The NYSE and Nasdaq closed at 1:00 PM ET today, ahead of the Independence Day holiday. July 3 (Friday) is fully closed. Markets reopen Monday, July 6. Thin volume on a half-day can exaggerate moves — today's price action should be read with that caveat.

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3. News → Today's Moves Explained

SPY: -0.13% | QQQ: -1.73% — Divergence driven by sector rotation within a holiday half-day.

Why SPY was roughly flat (–0.13%):

The S&P; 500 reflected a tug-of-war. The massive jobs miss (57K vs 113K expected) raised growth fears but simultaneously crushed rate-hike expectations, boosting financials and rate-sensitive sectors. Financials and communications (together ~30% of S&P; weight) rallied strongly, offsetting the tech selloff. The net result was near-flat for the broad index.

Why QQQ fell –1.73%:

The Nasdaq-100 is ~60% mega-cap tech and semiconductors — the exact pockets hit hardest today. Three overlapping forces hit QQQ: (1) Tesla's 7% drop on delivery beat / margin uncertainty (TSLA is ~3-4% of QQQ); (2) semiconductors extending the June correction — Intel –6%, AMD –5%, SOXX –6%; (3) the weak jobs print triggering a risk-off sentiment toward high-multiple growth names despite lower yields. The Nasdaq's tech-heavy composition made it structurally more vulnerable to this rotation.

Macro mechanism — Jobs Miss & Rate Dynamics:

Counterintuitively, a weak jobs number split the market rather than lifting it uniformly. Lower payrolls → lower terminal rate expectations → Treasury yields fell → financials, utilities, dividend stocks up. But the same weak jobs number signals economic deceleration → corporat earnings growth risk → pressure on high-multiple tech/growth stocks. With CPI still at 4.2%, the Fed cannot rush to ease even if growth slows — a 'stagflationary' sub-narrative that particularly hurts long-duration assets like high-multiple tech.

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4. Next-Day Scenarios — July 6, 2026 (Monday)

July 3 is closed. The next trading day is Monday, July 6. Key catalysts to monitor:

A) ISM Services PMI (June, due July 6 — delayed from standard Thursday schedule due to holiday)

- **Beat (>52, expansion):** Services still growing despite weak jobs. Stagflation narrative reinforces — SPY likely dips 0.3–0.7% on renewed rate-hike concerns; QQQ falls 0.5–1.0% as rate-sensitive tech re-prices. Financials and energy may still find support.

- **Miss (<48, contraction):** Both manufacturing and services now contracting. Recession fears spike.
  Flight-to-safety: Treasuries rally, yields fall sharply. SPY likely down 0.5–1.5% on growth scare; QQQ down 1–2% as earnings-revision risk escalates. But Fed cut expectations could ignite a relief rally if the miss is severe enough — watch 2-year yield for the tell.
- **In-line (49–51):** Minimal direct market impact; focus shifts to semiconductor momentum and oil prices.

B) Q2 Earnings Season Kickoff — Banks Lead (JPMorgan, Citigroup ~July 11)

- **Week of July 6 setup:** PepsiCo and Delta Air Lines report early next week. These are bellwethers for consumer spending and travel demand — critical reads after the jobs miss.
- **Delta beat / strong guidance:** Consumer resilient; SPY/Dow positive 0.5–1%; airlines, travel, consumer discretionary rally. Partially offsets growth-scare from jobs report.
- **Delta miss / cautious guidance:** Consumer cracks confirmed; SPY down 0.5–1.5%, discretionary and transportation sectors lead declines. Reinforces recession narrative.
- **S&P; 500 earnings growth expected at +23% YoY for Q2** — any broad miss vs. this bar is market-moving.

C) Tesla (TSLA) — Post-Delivery Sentiment Resolution

- **Analyst upgrades / price target raises on Monday:** Post-holiday covering of shorts; TSLA bounces 3–5%. QQQ recovers 0.5–1.0% on TSLA's 3–4% index weight. Tech sentiment improves broadly.
- **Analyst downgrades citing margin compression risk:** TSLA falls another 3–5%; QQQ under additional pressure, possible –1–1.5% overshoot. Semiconductors may see sympathy selling.

D) Geopolitical — US-Iran / Oil Prices

- **Escalation / supply shock:** Oil spikes >5%; energy outperforms, but inflation fears reignite. SPY down 0.5–1.0% on stagflation pricing; bond yields rise despite weak jobs. QQQ hit harder as growth/tech re-rates lower.
- **Diplomatic progress / ceasefire signals:** Oil gives back 3–5%; inflation premium fades. SPY up 0.5–1.0% on risk-on relief. Tech/QQQ potential 1–2% recovery as rate expectations stabilize.
- **Status quo:** Oil stays range-bound; market refocuses on ISM and earnings season. Holiday-weekend positioning unwinds may create choppy open.

Sources: TheStreet, 247 Wall St, CNBC, FXStreet, Kiplinger, BLS (bls.gov), Tesla IR, Eastern Herald, Electrek, Kavout. Prices from web searches; gap noted where direct API blocked. This report is for informational/analytical purposes only — no trades are placed or simulated.